Technical education institutions—management, engineering, medical, teaching, paramedical, diploma engineering, industrial training or any others—at any level of learning (secondary, college or postgraduate) have all been set up by private entrepreneurs as ‘not-for-profit’ institutions. However, this is only on paper. As these enterprises cannot charge freely determined fees, all kinds of distortionary and corrupt practices have been employed to make their profit while keeping the ‘not-for-profit’ facade in place.

Sponsors of such institutions have eaten away money from procurement. They have charged extraordinary amounts in capitation fees, when there was large demand for these courses. They have bribed regulators to get seats sanctioned for their institutions without having the requisite facilities. They have also paid their teachers much less in reality than what they showed on paper. These practices made students pay much more than the true market cost of obtaining such technical education and the entrepreneurs made good profits, but in ‘black’ money. The government got no taxes on their incomes/profits. In the process, the education environment became vitiated, with corrupt and compromised regulatory institutions, fly-by-night operators as educationists and poor quality of technical education for students.

The situation has changed marginally in the past few years. For some streams of technical education, like engineering and management, supply increased in a huge measure with the entry of a slew of fly-by-night operators. As the standard of education was worthless in most of these institutions, demand evaporated. A large number of such engineering colleges, universities and management institutions have been closing in the past few years.

The government brought in regulators to control fees charged by private educational institutions. All kinds of complications went into determination and enforcement of fees. Different quotas came up. Institutions designed